

China automation & industrials

EU marketing feedback: interest in China FA rising

Key Points

- AIDC is the key theme, with Weichai Power being the most-owned stock among China industrial names.
- We are seeing increasing client interest in China FA. Clients own AirTAC and Inovance in their portfolios.
- Hanbell is not well owned but tops investors' interest. Our pecking order: Weichai Power>Dingli Machinery>Sany Heavy>AirTAC>Hengli Hydraulic.

- **AIDC - the key interest.** Weichai Power is one of the most-held stocks, given the growing earnings contribution from AIDCs (AI datacentres). With a strong order book for AIDC power supply, investors broadly expect SOFC (Solid Oxide Fuel Cell) to start contributing from 2027. We expect Weichai Power's earnings contribution from AIDC power supply to almost double in 2026, accounting for ~30% of total earnings. While Hanbell is not commonly owned, many EU investors showed strong interest in Hanbell. Even though AIDC refrigeration compressors contribute only ~4% of Hanbell's revenue, investors are very keen to learn about its competitive landscape.
- **China FA - clients' interest is rising.** All our covered FA companies' order books have started growing since the beginning of the year. AirTAC recorded order book growth of 27.8% YoY in June and 23.5% YoY in 6M26, much better than its full-year guidance of mid-teens growth. Inovance has consecutively seen strong order-book growth of 40+% YoY from April to June. We are seeing growing client interest in China FA this year. More EU clients seem to be holding AirTAC and Inovance now. Some investors are interested in Inovance's H-share IPO if it has an attractive valuation discount.
- **Humanoid robots - still a topic of interest.** Most EU investors believe large-scale mass production of 1 million units is not feasible in the near term but agree that this will be a major growth theme over the next decade. Investors are closely watching which partners Tesla will finalise for its humanoid robot supply chain. Across the supply chain, Hengli Hydraulic is widely held, followed by Shuanghuan Driveline and Sanhua Intelligent.
- **China construction engineering.** Sany Heavy and Hengli Hydraulic are the most widely held names among EU investors we spoke with. A couple of clients owned Dingli Machinery. Investors expect these names to benefit from an overseas-demand recovery.
- **Our pecking order: Weichai Power (H) (Marquee)>Dingli>Sany Heavy>AirTAC>Hengli Hydraulic.** We expect the global AIDC capex cycle to sustain for the next 2-3 years. Weichai Power is our most preferred name in the China industrial space. We see China excavators entering a 3-4 year upcycle from 2025, on a strong domestic and overseas recovery, with Sany Heavy benefiting the most. In China FA, we prefer AirTAC to Inovance, given AirTAC is a pure China FA recovery proxy, while Inovance's FA rebound could be dragged by slowing NEV demand.

Industrials China



Daisy Zhang, CFA

China industrial automation coverage

Company	Ticker	Rec	TP (LCY)	CP (LCY)	TSR
Weichai	000338 CH	OP, Marquee	38.60	28.00	41.0%
	2338 HK		42.00	35.54	21.0%
Dingli Machinery	603338 CH	OP	70.50	49.34	45.5%
Sany Heavy	600031 CH	OP	26.50	18.91	43.1%
	6031 HK		28.90	20.82	42.0%
AirTAC	1590 TT	OP	1780.00	1290.00	41.0%
Hengli Hydraulic	601100 CH	OP	133.30	114.54	17.2%
Hanbell Precise	002158 CH	OP	34.90	27.47	28.6%
LHDS	688017 CH	OP	246.00	351.00	-29.7%
Hesai	HS AI US	OP	31.10	18.15	71.3%
	2525 HK		242.00	143.70	68.4%
RoboSense	2498 HK	OP	36.00	28.16	27.8%
Inovance	300124 CH	OP	77.80	67.16	16.8%
Shuanghuan	002472 CH	OP	47.00	41.00	14.0%
Zhejiang Sanhua	2050 HK	OP	35.60	28.38	26.8%
OPT	688686 CH	OP	115.40	124.50	-6.7%
Centre Testing	300012 CH	N	15.80	13.91	14.9%
Estun	2715 HK	N	12.60	17.00	-25.6%
	002747 CH		12.80	32.22	-60.2%
Zhejiang Sanhua	002050 CH	UP	36.30	44.81	-18.3%
Supcon	688777 CH	UP	36.00	106.09	-65.3%

Source: Macquarie Research, FactSet, July 2026. Pricing as of 06 July 2026

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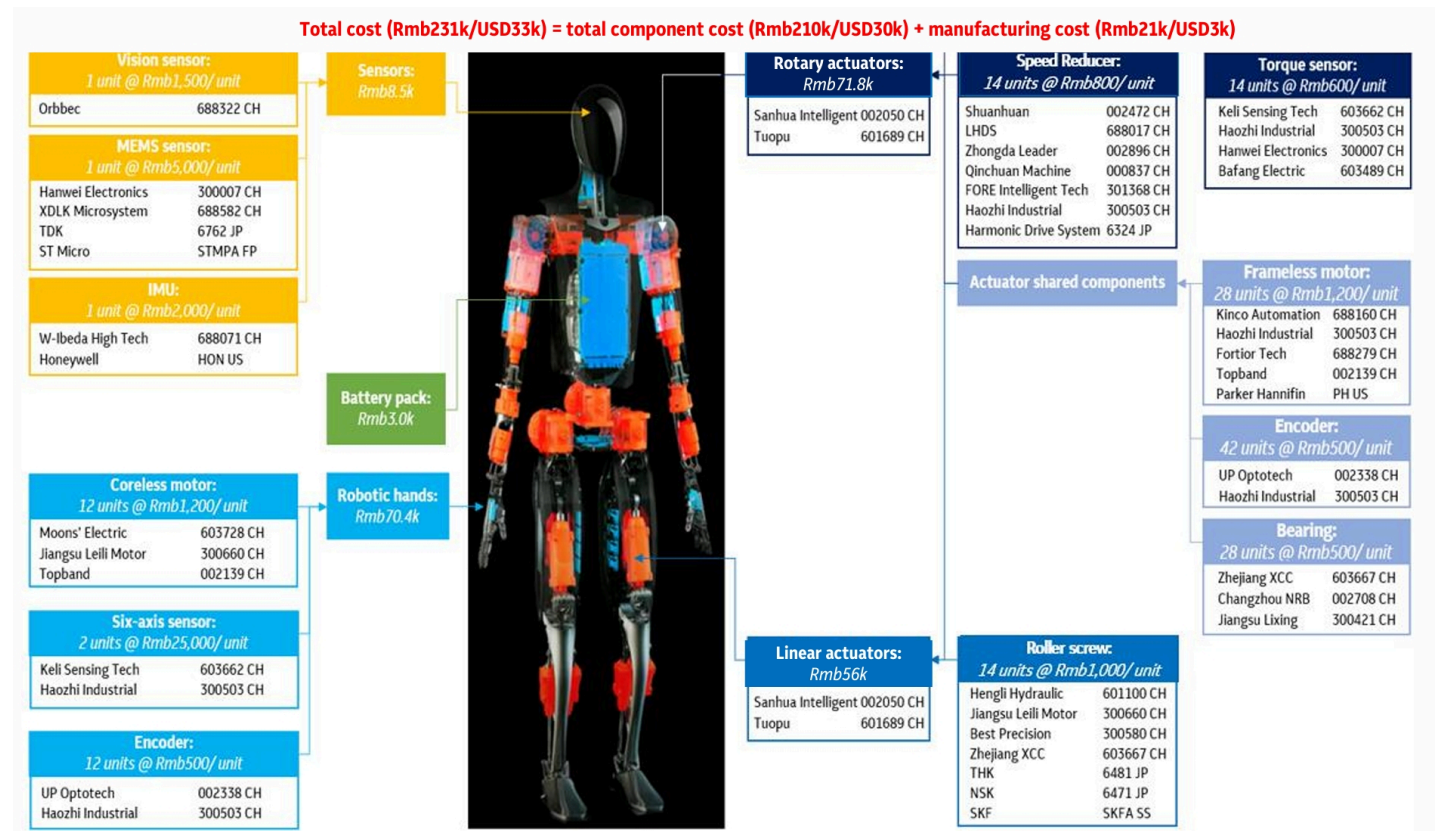
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Humanoid robot

Figure 1 - Potential Tesla humanoid robot supply chain participants



Source: Tesla, Company data, Macquarie Research, July 2026

Figure 2 - Global humanoid robot market size forecast

	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
World manufacturing workers (mn)	240	247	259	264	269	274	280	285	291	297	303	306	309	312	315	318
<i>YoY change</i>	-0.8%	2.7%	4.8%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Industrial robot: accumulative volume (k units)	3,027	3,479	3,904	4,299	4,707	5,131	5,569	6,023	6,493	6,979	7,482	7,924	8,374	8,833	9,299	9,774
Industrial robot: penetration rate	1.26%	1.41%	1.51%	1.63%	1.75%	1.87%	1.99%	2.11%	2.23%	2.35%	2.47%	2.59%	2.71%	2.83%	2.95%	3.07%
<i>YoY change</i>	0.13%	0.15%	0.10%	0.12%	0.12%	0.12%	0.12%	0.12%	0.12%	0.12%	0.12%	0.12%	0.12%	0.12%	0.12%	0.12%
Humanoid robot: annual sales volume (k units)							50	100	200	380	684	1,163	1,860	2,791	4,186	6,279
<i>YoY change</i>								100.0%	100.0%	90.0%	80.0%	70.0%	60.0%	50.0%	50.0%	50.0%
Humanoid robot: accumulative volume (k units)							50	150	350	730	1,414	2,577	4,437	7,228	11,414	17,693
Humanoid robot: penetration rate							0.02%	0.05%	0.12%	0.25%	0.47%	0.84%	1.44%	2.32%	3.62%	5.56%
ASP of humanoid robot (USD k)							33					21				13
Market size of humanoid robot (USD m)							1,647					24,777				84,297
CAGR (2026-35E)																54.8%

Source: IFR, Macquarie Research, July 2026

Figure 3 - Sensitivity analysis of LHDS revenue/earnings to humanoid robot demand based on MQe projections

LHDS	2026E	2027E	2028E
Speed reducer			
ASP of components (Rmb)	800	755	713
Units	14	14	14
Value (Rmb)	11,200	10,574	9,983
Humanoid robot market			
Annual sales volume of humanoid robot (k units)	50	100	200
Market share %	30%	30%	30%
Humanoid robot revenue (Rmb m)	168	317	599
MCQe company revenue (Rmb m)	802	1,081	1,408
Humanoid robot contribution as % of total revenue	20.9%	29.4%	42.5%
Net margin %	15%	15%	15%
Humanoid robot net profit (Rmb m)	25	48	90
MCQe company net profit (Rmb m)	170	235	301
Humanoid robot contribution as % of total NP	14.8%	20.2%	29.8%

Source: Macquarie Research, July 2026

Figure 4 - Sensitivity analysis of Hengli Hydraulic revenue/earnings to humanoid robot demand based on MQe projection

Hengli Hydraulic	2026E	2027E	2028E
Roller screw			
ASP of components (Rmb)	1,000	887	824
Units	14	14	14
Value (Rmb)	14,000	12,414	11,532
Humanoid robot market			
Annual sales volume of humanoid robot (k units)	50	100	200
Market share %	70%	70%	70%
Humanoid robot revenue (Rmb m)	490	869	1,614
MCQe company revenue (Rmb m)	13,403	14,845	16,352
Humanoid robot contribution as % of total revenue	3.7%	5.9%	9.9%
Net margin %	15%	15%	15%
Humanoid robot net profit (Rmb m)	74	130	242
MCQe company net profit (Rmb m)	3,318	3,955	4,514
Humanoid robot contribution as % of total NP	2.2%	3.3%	5.4%

Source: Macquarie Research, July 2026

Figure 5 - Sensitivity analysis of Sanhua revenue/earnings to humanoid robot demand based on MQe projection

Sanhua	2026E	2027E	2028E
Actuator			
ASP of components (Rmb)	910	690	523
Units	28	28	28
Value (Rmb)	25,480	19,310	14,634
Humanoid robot market			
Annual sales volume of humanoid robot (k units)	50	100	200
Market share %	50%	50%	50%
Humanoid robot revenue (Rmb m)	637	966	1,463
MCQe company revenue (Rmb m)	33,611	37,130	40,709
Humanoid robot contribution as % of total revenue	1.9%	2.6%	3.6%
Net margin %	15%	15%	15%
Humanoid robot net profit (Rmb m)	96	145	220
MCQe company net profit (Rmb m)	4,414	4,932	5,449
Humanoid robot contribution as % of total NP	2.2%	2.9%	4.0%

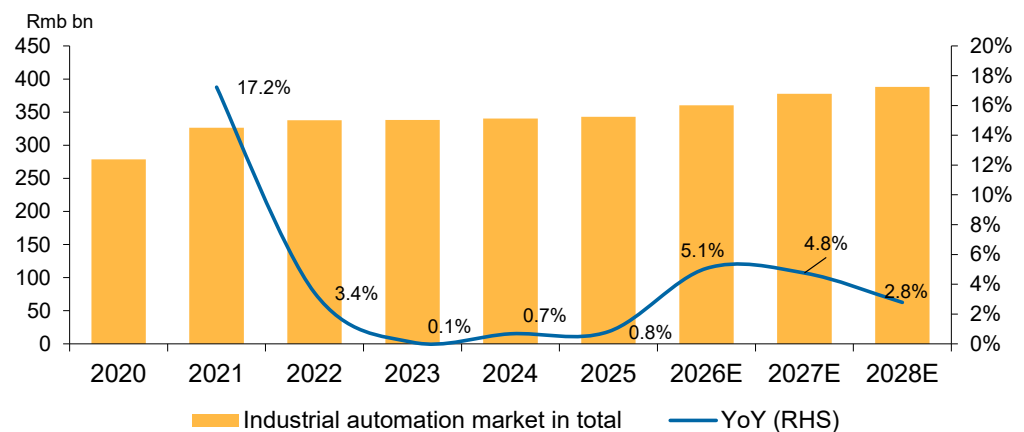
Source: Macquarie Research, July 2026

Figure 6 - Sensitivity analysis of Shuanghuan revenue/earnings to humanoid robot demand based on MQe projection

Shuanghuan	2026E	2027E	2028E
Speed reducer			
ASP of components (Rmb)	800	755	713
Units	3	3	3
Value (Rmb)	2,400	2,266	2,139
Humanoid robot market			
Annual sales volume of humanoid robot (k units)	50	100	200
Market share %	80%	80%	80%
Humanoid robot revenue (Rmb m)	96	181	342
MCQe company revenue (Rmb m)	10,208	11,584	13,152
Humanoid robot contribution as % of total revenue	0.9%	1.6%	2.6%
Net margin %	15%	15%	15%
Humanoid robot net profit (Rmb m)	14	27	51
MCQe company net profit (Rmb m)	1,441	1,656	1,903
Humanoid robot contribution as % of total NP	1.0%	1.6%	2.7%

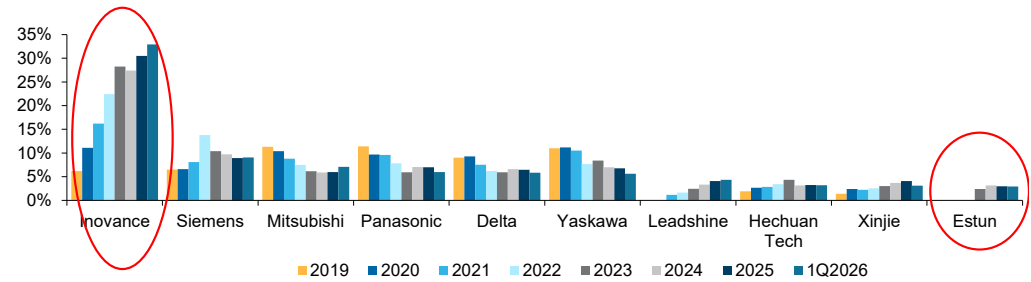
Source: Macquarie Research, July 2026

China factory automation

Figure 7 - Industrial automation market in total

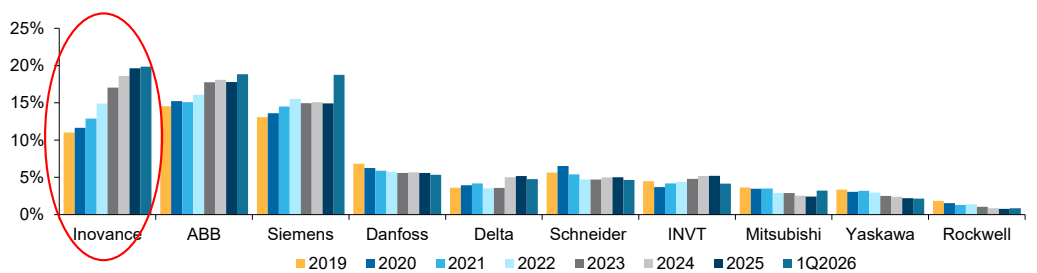
Source: MIR Databank, July 2026

Figure 8 - Servo systems - Market share in China, 2019~1Q26



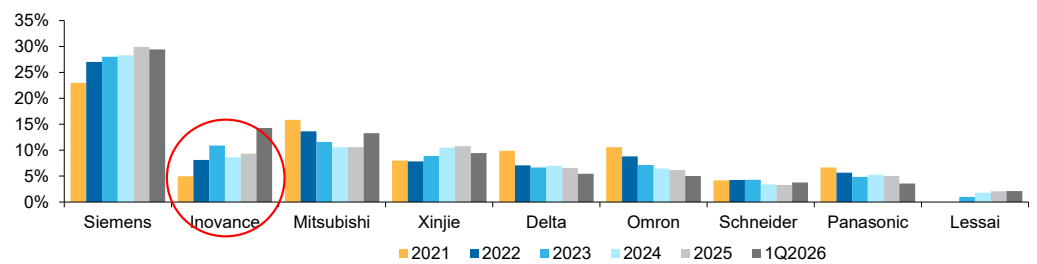
Source: MIR, July 2026

Figure 9 - Inverter - Market share in China, 2019~1Q26



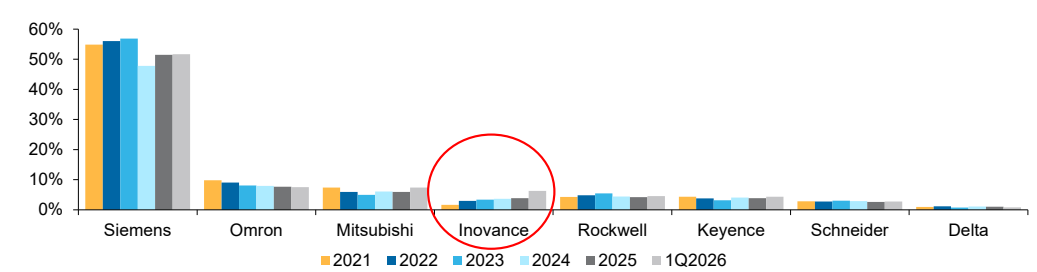
Source: MIR, July 2026

Figure 10 - Small PLC systems - Market share in China, 2021~1Q26

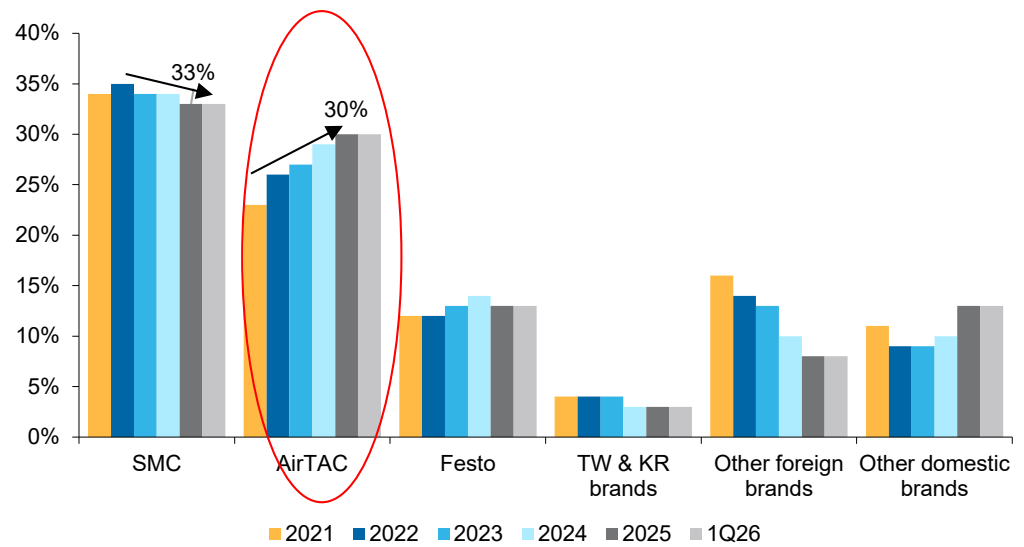


Source: MIR, July 2026

Figure 11 - Large PLC systems - Market share in China, 2021~1Q26

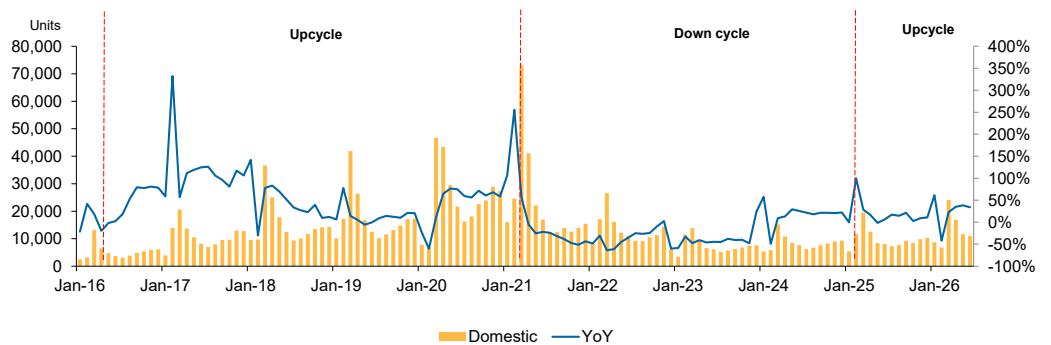


Source: MIR, July 2026

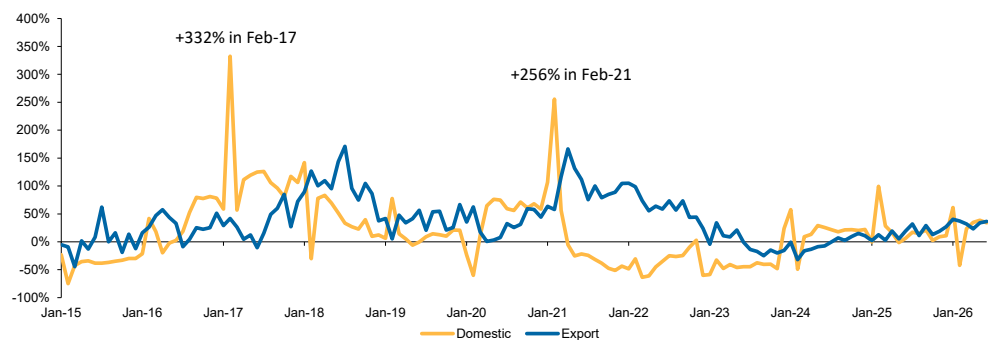
Figure 12 - Pneumatic equipment - market share in China

Source: Company data, AirTAC, Macquarie Research, July 2026

Construction engineering

Figure 13 - Monthly sales volume of excavators in China

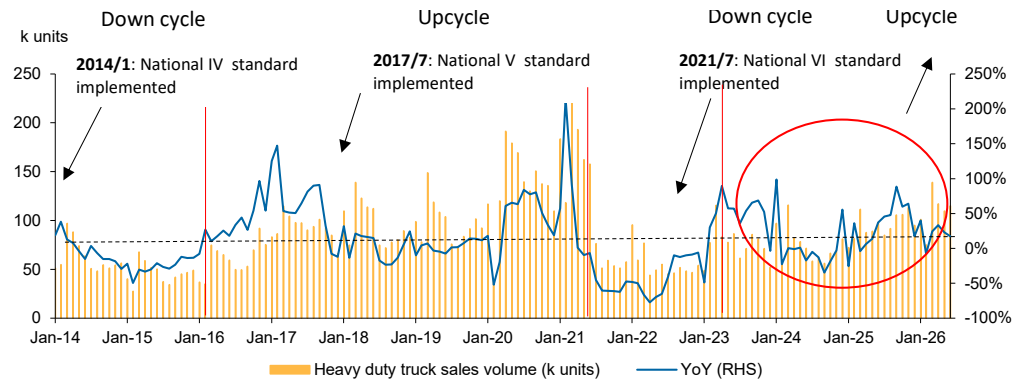
Source: Wind, July 2026

Figure 14 - Excavator sales volume YoY: domestic vs export

Source: Wind, July 2026

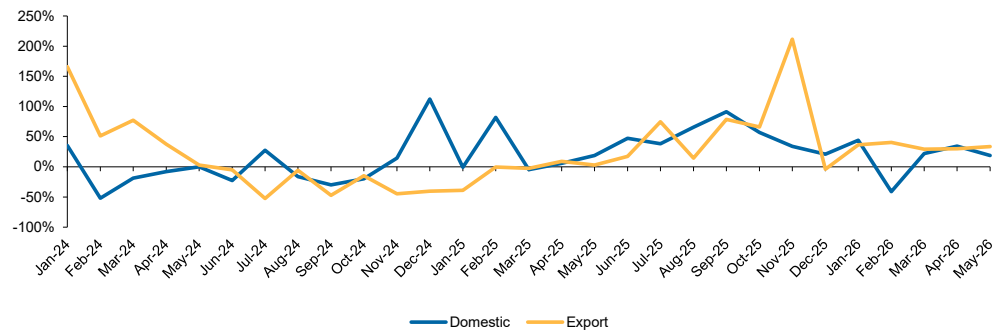
HDT (heavy duty truck)

Figure 15 - Monthly heavy duty truck sales volume



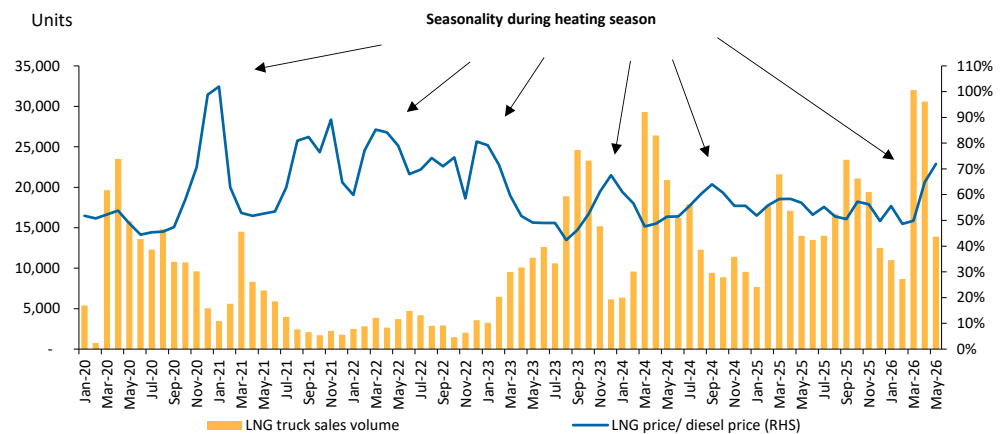
Source: CVworld, July 2026

Figure 16 - HDT sales volume YoY: domestic vs export



Source: CVworld, July 2026

Figure 17 - LNG truck sales volume vs. LNG/diesel price



Source: CVworld, July 2026

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